extension of e-payment through more banks and expansion of in the scope of annual information returns by Income-tax Department.

With regards to **Indirect Taxes**, the Finance Minister proposed no change in the normal rates of 12 percent for *excise duty* and *service tax*. Similarly, no change has been made in the peak rate of custom duty of 10 percent for non-agricultural products. Custom duty on free **gold** limit increased to Rs. 50,000 in case of male passenger and Rs. 1,00,000 in case of a female passenger subject to conditions. Duty on imported luxury goods such as high end motor vehicles, motor cycles, yachts and similar vessels increased. Custom duty on Set Top Boxes increased from 5 to 10 percent while on raw silk increased from 5 to 15 percent to boost domestic production. Custom duty on specified machinery for manufacture of leather and leather goods including footwear reduced from 7.5 to 5 percent. The Budget also proposes that period of concession available for specified part of electric and hybrid vehicles extended upto 31 March 2015.

Excise duty on **SUVs** increased from 27 to 30 percent. However, this will not apply to SUVs registered as taxies. Cigarettes will cost more as specific excise duty increased by about 18 percent. Similar increases are proposed on cigars, cheroots and cigarillos. Duty on mobile phones priced above Rs. 2000 has been raised to 6 percent from the current one percent.

The Budget proposes **VCES** (Voluntary Compliance Encouragement Scheme) where a defaulter may avail of the scheme on condition that he files a truthful declaration of Service Tax dues since 01.10.2007. It is a one-time scheme in which interest, penalty and other consequences will be waived.

The Budget proposes to mobilise Rs. 18,000 crore in which new proposals in indirect taxes will yield Rs. 4,700 crore and direct taxes of Rs. 13,300 crore. In a major step to rationalise taxation on goods and services, the Budget has earmarked Rs. 9,000 crore towards the first installment of the balance of CST compensation. The Minister said that overwhelming majority States have agreed that there is a need for Constitutional amendment to pass **GST** law. It will be drafted by the State Finance Ministers and the GST Council, the Minister added.